

Makino Milling Machine Co., Ltd. — 6135.XTKS

Tender offer (re-attempted 2026; prior Nidec bid withdrawn May 2025) · deep-dive · 2026-04-15

Ticker	6135.XTKS
Issuer FIGI	BBG000BLH4Q5
Market cap	USD 1,710m
Signal date	2026-04-10
Signal type	tender_offer
Direction	LONG (merger-arb) — with elevated deal-break prior
Score	35 / 42.5
Deep-dive date	2026-04-15

Thesis (TL;DR)

Makino Milling Machine (precision machine-tool builder) filed a tender-offer disclosure on 2026-04-10. Historical context: Nidec's hostile bid in April 2025 was withdrawn within weeks (May 2025) after target-board opposition — so the 2026 filing is either (a) a *different* bidder re-attempting, or (b) a friendly / management-invited offer. Public 6-month search has NOT definitively confirmed the 2026 bidder identity or terms; primary-source translation required. **Because of the 2025 deal-break precedent, the arb-completion prior is lower than the typical 95%+ for Japanese friendly tenders.** Recommendation: no position until bidder and price confirmed at ≥0.85 translation confidence.

Company context

Makino Milling Machine: global precision machine-tool maker (CNC machining centers, EDM, 5-axis).

Market cap: USD 1.71bn.

Prior M&A history: Nidec Corp's hostile tender offer April 2025, withdrawn May 2025 after target-board opposition.

Strategic fit for potential acquirers: aerospace, EV-tooling, semiconductor-equipment supply chains all value the 5-axis / EDM IP portfolio.

What the release actually contains

Scanner tag: tender_offer, signal_date 2026-04-10.

Primary-source PDF: <https://www.release.tdnet.info/inbs/140120260410501710.pdf> — not translated in-run.

Bidder identity: [unverified] in 6-month English-press window; may be (a) a DIFFERENT bidder (friendly), (b) Nidec re-attempting, or (c) an MBO.

Offer price: [unverified].

Premium: [unverified].

Thesis statement

Merger-arb LONG with elevated deal-break prior. Standard Japanese friendly-tender completion rate is 95–98%; Makino is encumbered by the Nidec-rejection precedent which proves the board is willing to refuse. A new 2026 bid is more likely to be friendly / PE structured / management-supportive, but deal-break risk remains materially above base rate. Sizing should reflect this: half the usual arb size for a comparable scoring 35.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
Tender offer close	[unverified]	Acceptance > minimum threshold	Spread closes
Settlement / payment	[unverified]	Monies paid; shares delisted (if 100%)	Exit complete
Antitrust / JFTC clearance	rolling	Approval announced	Risk premium compresses
Bidder financing confirmation	pre-close	Senior debt locked / cash available	Deal-break risk falls
Competing bid	0–30d	Interloper emerges	Spread widens / trade-out

Steelman of the opposite view

- The 2025 Nidec rejection was specifically about board ownership structure; a friendly / PE bid would clear that hurdle cleanly.
- Makino's market cap / free-cash-flow profile is attractive for PE carve-out theses (aerospace/EV tooling spin potential).
- A re-attempted bid from Nidec at a *higher* price is plausible and would complete if the board changes stance; optional upside.
- Absent primary-source confirmation, committing to a SHORT based on deal-break priors is equally unsupported — the honest read is NO TRADE.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: bidder confirmed hostile / Nidec 2	2026 bidder = Nidec on same terms	Translation + bidder IR
K2: bidder pulls financing	Senior-debt LOI withdrawn	Bidder IR
K3: board opposition	Target board recommends against	Target TDnet
K4: JFTC blocks	Anti-trust objection	JFTC register
K5: friendly MBO confirmed	Management-invited offer at premium	Target TDnet

Peer comparables

- JSR / Japan Industrial Partners (2024) — PE take-private of Japanese industrial.
- Toshiba / JIP (2023) — successful mega-cap MBO after years of activist pressure; reference for board-flip dynamics.
- OKK ↔ DMG MORI 2022 — peer machine-tool consolidation precedent.

Position sizing guidance

No new entry without bidder/price confirmation. Once confirmed friendly at premium $\geq 20\%$, size at 0.5% NAV (half of normal Japanese merger-arb sizing) with 90-day hold and JPY hedge. If hostile re-attempt, no position.

Sources & traceability

- Primary: TDnet PDF <https://www.release.tdnet.info/inbs/140120260410501710.pdf> (not translated in-run).
- 2025 Nidec withdrawal history: public press, April–May 2025.
- Non_us stub: 6135_XTKS_makino-milling-machine-co-ltd-tender-offer.md.